

Perseverance and hard work is what made this young firm's business model a winner.

Support seller

But with time, technology began to outpace the team, resulting in the need for a fresh look at its business model.

"An outsourcing model alone wasn't enough. We needed to grow and provide more than just handling backend activities," confesses Bhat. Thus, Srijan adopted a 'support seller' model wherein it derived revenue from consulting, custom development, and post-sales support instead of traditional software licensing fees.

"We provide a lot of value addition around content management systems like Drupal, Django and TYPO3. Srijan recognised early the need to offer integrated business analysis, information architecture and UI design services under one roof for strategising, conceptualising, and designing large applications and portals. We thus partnered with Itu Chaudhuri Design and Dolka Innovations—both broad-based design agencies. This led Srijan to winning the contract for large magazine portals such as *openmagazine.com*, which is built on Drupal," says Bhat. The client list currently includes bigwigs like Centre for Science and Environment, The World Bank, Bharti, Open Media Network, etc.

Yet, business challenges remain. Though the firm has overcome the initial mindset issue and a number of teething problems, it still faces macro environment challenges. "Talent is a huge challenge today. Skilled talent is available, but at a very high cost, making it unaffordable for a growing company like ours. To solve this, we are venturing into Tier 2 and 3 cities to acquire talent at lower rates and internally train people. Our plan to start a satellite office in Srinagar is in alignment with this goal. We hope to create Srijan hubs at a number of small

cities to grow and also overcome the talent challenge," says Bhat.

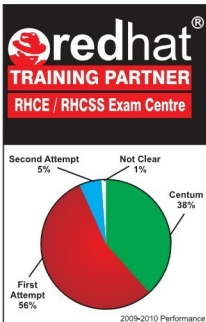
Very early on, Srijan recognised that 'people' make the difference in a service-based business model. Thus, the success of the company had to be shared and has been instrumental to its business growth and achievements. "At Srijan, we maintain financial transparency with all our employees. The health of the company, the value of contracts, salaries of employees (including the CEO) is open for everyone to access. It is actively shared during Saturday 'knowledge sharing sessions'. This has helped Srijan's business as we have been able to attract and retain highly driven and entrepreneurial people—who are critical for a start-up like ours," says Bhat.

Plans for the future

Srijan hopes to diversify further and look at mergers to keep its business flying high. "We shall diversify in the future. We are already making a significant ESOP offering. We are also working on a hosting solution of integrated service offerings to our growing Indian customer base. We are at an advanced stage of developing this and hope to launch the solution three months down the line. Alongside, we are looking for companies (of our size or smaller) to merge with us to bring more economies of scale and share good people, resulting in mutual growth for everyone involved," says Bhat.

The firm also hopes to evolve new business strategies, like a combination of the rental model (pay as per use/ SaaS) and dual licensing models. "For our hosting solution, we plan an indirect revenue model, where the core product is free-of-cost but an enterprise version with support and add-ons is available on a pay-by-service model -- also called a SaaS/rental model," says Bhat.

By constantly working on its business strategies, Srijan Technologies will continue to chart an independent course in the open source world. 



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The author loves to experiment and writing for LINUX For You is her latest experiment. So, beware! Just a minute, she also happens to be a journalist during the day.